

S&P Global US Flash PMI[®]

Business growth hits 52-month high in August, fueled by surge in service sector activity and rising optimism. Price pressures cool.

August 2026

Flash US Composite PMI Output Index: 56.0 (July: 54.5). 52-month high.

Flash US Services PMI Business Activity Index: 56.8 (July: 54.6). 20-month high.

Flash US Manufacturing Output Index: 51.9 (July: 53.9). 13-month low.

Flash US Manufacturing PMI: 53.2 (July: 53.9). 5-month low.

US business activity growth accelerated sharply for a second successive month in August to reach the fastest since April 2022. A surge in service sector business activity helped offset a marked slowing of growth in the manufacturing sector, the latter blamed in part on reduced inventory building and supply delays. Supply times lengthened sharply again, and to one of the greatest extents seen over the past four years, contributing to a further build-up of uncompleted orders across both manufacturing and services.

Jobs were added at the fastest rate since the start of last year as increasingly confident companies took on more staff to meet higher demand. Business growth expectations struck a nine-month high. Price pressures meanwhile moderated, especially in terms of selling price inflation, though input cost inflation remained elevated thanks principally to high energy prices.

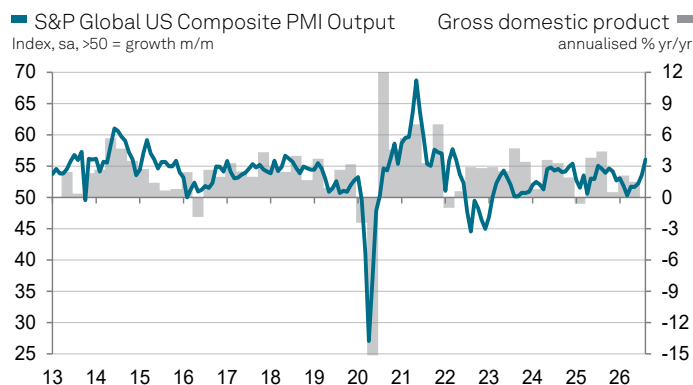
Output and demand

The headline flash S&P Global US PMI Composite Output Index rose from 54.5 in July to 56.0 in August, registering the fastest growth since April 2022. The survey data signal a marked acceleration of business growth so far in the third quarter, though the drivers of growth have diverged. While strong manufacturing growth throughout the second quarter has faded over the summer, such that goods production showed the smallest monthly rise for 13 months in August, service sector activity has revived from the sluggish pace reported in the second quarter to reach the fastest since December 2024.

This changing sector pattern of growth is less evident for order books, with both manufacturing and services again registering robust increases in demand in August. Nonetheless, while the growth trend for orders has slowed in manufacturing, it has improved in services.

Supply and order backlogs

This divergence reflects some cases of manufacturing



Data were collected 12-20 August 2026.
Sources: S&P Global PMI, Bureau of Economic Analysis via S&P Global Market Intelligence.
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Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"US business is booming, with firms reporting the fastest output growth for over four years so far in the third quarter as the expansion picked up further momentum in August. The survey data for the third quarter are currently pointing to annualized growth approaching 3.0%, up solidly from the 1.5% pace seen in the second quarter."

"Jobs growth has also shown a welcome revival in August, with employers gaining in confidence as concerns fade over the negative economic impacts of tariffs and the conflict in the Middle East. However, the latter in particular remains a key area of concern for businesses, especially via the impact on supply lines and energy prices. Supply delays were again reported in August to one of the greatest extents seen over the past four years, clearly constraining output in many companies. Price pressures, while fading, also remain elevated and prone to renewed upward pressures should energy prices rise again."

"Growth momentum has meanwhile shifted from manufacturing to services between the second and third quarters. As reduced safety stock building and supply delays dampen factory production growth, the service sector is now playing a key role in driving a sustained US expansion, underscoring a dependency on consumer spending and financial services growth."

production being constrained by raw material shortages, linked to supply chain delays, as well as reports of less precautionary inventory accumulation. Safety stock building related to concerns over price rises and supply shortages due to the war in the Middle East had been a key driver of factory growth in the early months of the conflict, but now appears to be fading. Input buying by manufacturers also rose only slightly in August, registering the smallest increase so far this year. However, supply chain delays remain widespread, with supplier delivery times lengthening in August to one of the greatest extents seen over the past four years, blamed on shipping delays, tariffs, and diminished stock availability at suppliers.

Supply delays caused backlogs of work to accumulate again in manufacturing, with outstanding orders having risen since the start of the war at rates not seen since 2022. However, strong demand combined with supply constraints has also led to rising backlogs in the service sector, where outstanding orders rose in August at the sharpest rate since May 2022.

Future sentiment

Business output expectations improved for a third successive month in August, recovering to their highest since November of last year, reflecting a combination of order book backlogs, rising customer enquiries, expansion plans, and an easing of concerns over the economic impacts of tariffs and the war in the Middle East. Confidence improved in both manufacturing and services during the month.

Employment

Having shown little net change over the prior eight months, employment rose sharply in August. The increase in payrolls signalled was the largest since January 2025 and second largest recorded over the past four years. An especially marked rise in staffing was reported in the service sector, the largest rise since the start of last year, but factory jobs growth also picked up to the highest since May. Job gains reflected improved business confidence about the near-term outlook and fuller order books.

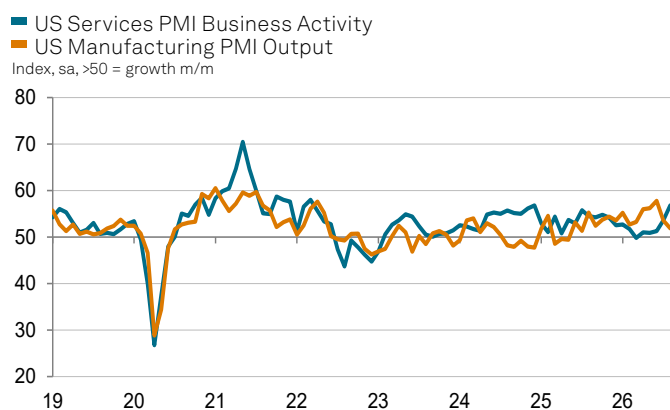
Prices

Price pressures moderated in August. Average input costs measured across both goods and services rose at the slowest pace since February. The cooling of services cost inflation from July's 14-month high was especially marked, while factory input cost inflation moderated for a third month. However, both remained elevated by historical standards, blamed by survey contributors on high energy prices, squeezed supply lines, and tariffs. The average cost increase so far in the third quarter consequently slightly exceeds that seen in the second quarter despite August's easing.

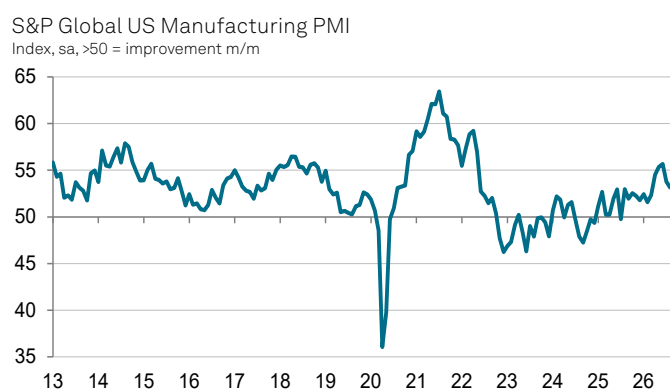
As input cost inflation dropped to the lowest since the start of the war in the Middle East, selling price inflation also moderated. Average prices charged for goods and services rose in August at the slowest rate since last November, softening to a ten-month low in services and a six-month low in manufacturing. Fewer reports of the need to pass through higher fuel and energy prices were a key driver of the reduced rates of increase.

Manufacturing PMI

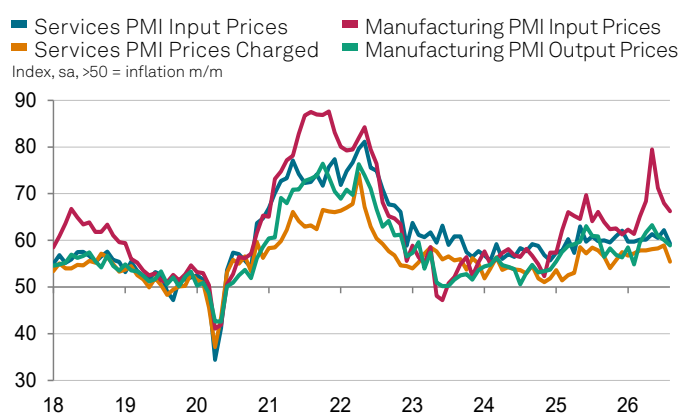
The S&P Global US Manufacturing PMI fell from 53.9 in July to 53.2 in August, according to the flash reading, registering the



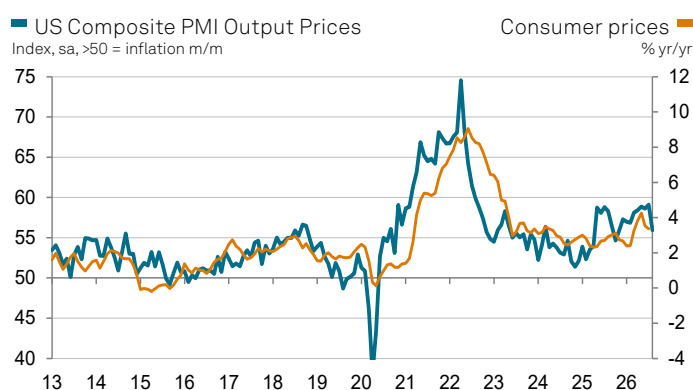
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weakest improvement in business conditions since March but remaining among the highest readings seen over the past four years.

Production growth waned for a third successive month to the slowest since July of last year. While new orders proved more resilient, growth here also slipped to hit the weakest since March. Inventories were also a drag on the PMI, with purchases of inputs falling in August for the first time since February. However, a key support for the PMI came from longer delivery times. Although supply delays moderated slightly, the deterioration was the third-highest seen over the past four years. Jobs growth also buoyed the PMI, with factory payrolls rising modestly to register the largest increase since May.

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Methodology

Final August data are published on 1 September for manufacturing and 3 September for services and composite indicators.

The S&P Global Flash US Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of around 650 manufacturers and 500 service providers. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Composite indices for are calculated by weighting together comparable manufacturing and services indices using official manufacturing and services annual value added.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

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Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.1 (absolute difference 0.4)

Services Business Activity Index = 0.1 (absolute difference 0.4)

Manufacturing PMI = 0.0 (absolute difference 0.3)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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